

MARCH 2026 EDITION

The People *Equation*

The State of the Senior Housing Workforce · Labor
Management Benchmarks · The Procare Advantage

800+

COMMUNITIES

35,000+

EMPLOYEES
MANAGED

70%+

INTERNAL
EMPLOYEES
EXPERIENCED
IN SENIOR
CARE

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Welcome to the inaugural issue of *The People Equation*; content for senior housing professionals who understand that workforce is not a cost center, it's the most critical driver of resident outcomes, operational performance, and financial health. Inside, you'll find the data, the stories, and the strategies that matter most in 2026.

CHAPTER ONE

State of the Senior Housing Workforce

The turnover, recruitment, and cost data that drives operator pain — and where the opportunity lives.



Structurally Broken — But *Improving*

SENIOR HOUSING WORKFORCE DATA · Q1 2026

The senior housing industry's workforce picture is improving but remains structurally broken — and that gap is where strategic HR value lives. Turnover has fallen roughly 10 percentage points from pandemic peaks but still runs **34–43%** depending on role and segment — two to three times the rate of the broader economy.

Labor now consumes **55–60% of total operating expenses**, and operators estimate turnover alone costs **\$1–2 million per organization annually**. With occupancy finally surpassing pre-pandemic levels at **88%+ in Q3 2025** while staffing remains constrained, operators face a paradox: demand is rising, beds are available, but they cannot fill them without solving the workforce equation.



Turnover by Role: Assisted Living (2025)



"The year-over-year trend tells a clear recovery story — but even at these improved levels, senior housing turns over roughly a third to half of its entire frontline workforce every year."

— SENIOR HOUSING WORKFORCE RESEARCH, Q1 2026

87% of Operators Still Struggle to Hire

Despite rising application volumes, the conversion problem is severe. Applicant volume hit record highs in mid-2025, yet employers reviewed only **58-60% of applicants**. The hiring funnel leaks at every stage.

Time-to-fill averages **49 days** across healthcare. Specialized clinical roles can stretch to **250 days**. Speed is the single strongest predictor of hiring success: organizations that reduced time-to-first-outreach by 37% made **20.8% more hires** even while reviewing fewer total applicants.

Interview no-shows rose **40%** in late 2025, and background check completion declined **13%** — both signs that candidates hold the leverage.

49 Days

AVERAGE TIME-TO-FILL ACROSS HEALTHCARE

20–23

DAYS TTF WITH OPTIMIZED PLATFORMS

The Hiring Funnel: By The Numbers

180

APPLICANTS PER HIRE ON AVERAGE

3%

HEALTHCARE APPLICANTS REACHING INTERVIEW

27%

INTERVIEW-TO-HIRE CONVERSION RATE

Agency Staffing: Declining But Still Costly

Agency and temp staffing, while declining sharply from pandemic peaks, still inflates costs. Agency markups run **25–100% above worker wages**. CMS data shows agency staff usage dropped 44% from 9.93% of hours (Q4 2022) to 5.60% (Q2 2025). Only **25% of leaders** plan to increase agency use — the industry is decisively shifting toward permanent hiring infrastructure.

AGENCY MARKUPS VS. WORKER WAGES

Run 25–100% above direct worker compensation — representing a significant drag on operator margins that grows worse with volume.

THE SHIFT TO PERMANENCE

75% of senior living leaders plan to maintain or reduce agency dependency, prioritizing permanent hiring infrastructure and internal float pools.

The First 100 Days Decide Everything

PEAK RETENTION RISK WINDOW

Retention data points to a clear pattern: the first 100 days are make-or-break. Structured onboarding programs that include check-in surveys at 15, 30, 60, and 90 days can reduce first-year turnover by up to **65%**.

When employees respond to even one engagement survey during this period, their risk of leaving drops by **50%**. Comprehensive orientation alone can cut caregiver turnover by **50% within two years**.

Average tenure varies sharply by role. With CNA turnover in the 38–43% range, implied average CNA tenure is roughly **1.5–2 years**. Executive turnover at 22% implies tenure of **4–5 years**. Nursing home administrators churn at 43% annually — suggesting many last barely a year.

65%REDUCTION IN FIRST-YEAR TURNOVER
WITH STRUCTURED ONBOARDING**74%**WOULD ACCEPT \$1.50/HR PAY CUT FOR
BETTER WORKPLACE CULTURE

What Caregivers Say Keeps Them

The KARE Careforce Report (3,112 licensed caregivers) provides the most granular view of retention drivers:



Flexible Scheduling

98% of caregivers said flexible scheduling would keep them on staff — the dominant retention lever.



Resident Relationships

31% cited strong relationships with residents as their top reason for staying.



Purpose & Fulfillment

26% cited fulfillment as a primary retention factor — reinforcing that culture beats compensation at the margin.

"98% of caregivers said flexible scheduling would keep them on staff. Culture, scheduling, and management quality are retention levers that HR outsourcing directly enables."

— KARE CAREFORCE REPORT

CHAPTER TWO

The Procure Advantage

Comprehensive labor & HR services built exclusively for senior care — transforming people operations into business outcomes.



From Reactive HR to Strategic Growth Partner

Procare does not do HR for HR's sake. We operate as a strategic enabler, shifting HR from a reactive complaint department into a proactive driver of quality care, financial performance, and organizational growth.



Data-Driven Labor Management

Budget-to-actual tracking, overtime controls, agency utilization, and TeamBridge scheduling optimization.



24/7 Talent Acquisition

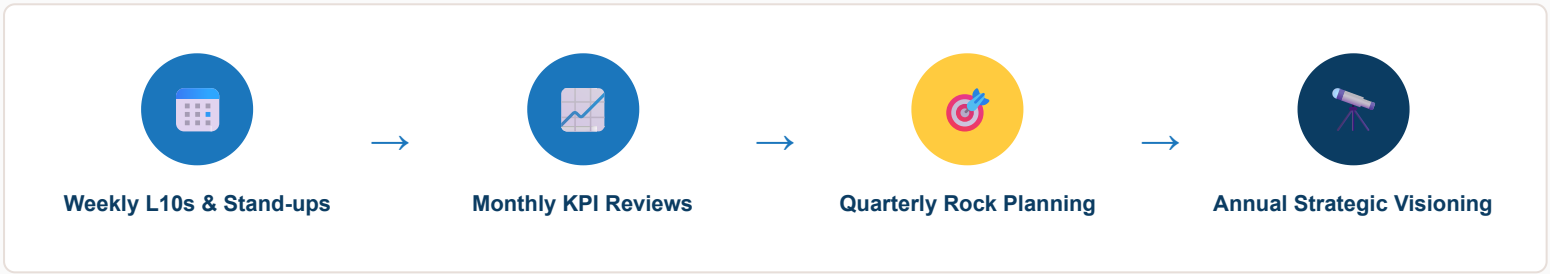
High-volume recruiting engine with Hiring Predictability Index (HPI), sponsorship optimization, and expedited time-to-fill.



Comprehensive Core HR

Payroll, benefits, compliance, I-9 management, employee relations, and in-house employment attorneys.

Embedding an Executive HR Partner into Your C-Suite



The CHRO Seat

A dedicated, executive level, HR leader who is fully accountable to your organizational goals.

Strategic Alignment

We translate your operational objectives (e.g., reducing overtime hours) into a tailored, metric-driven HR strategy.

Scalable M&A Platform

Add new communities and management contracts rapidly without bloating corporate headcount.

Where do you stack up?

Labor models are a litmus test for operational competence. A well-structured model signals sustainable margins and lower risk, while red flags in labor management often lead to discounted valuations, higher lending spreads, and chronic underperformance.

KPI / Metric	Best in Class	Target	Average	Underperformance
Budget to Actual: Hours Variance	0.0 – 1.4%	1.5 – 3.5%	3.6 – 8.0%	8.0% +
Variance Hours %	0.0 – 3.6%	3.7 – 4.5%	4.6 – 6.5%	6.6% +
Overtime Dollars	0.0 – 0.1%	0.2 – 6.0%	6.0 – 9.0%	10% +
Overtime Hours %	0.0 – 1.5%	1.6 – 4.5%	4.6 – 8.0%	8.0% +
Agency % of Scheduled Hours	0.0 – 1.0%	1.0 – 1.5%	1.6 – 4.0%	4.1% +
Full Time Employee Utilization	0.0 – 3.6%	3.7 – 4.5%	4.6 – 6.5%	6.6% +
Upcoming Open Hours	0.0 – 7.0%	8.0 – 13%	14 – 24%	24% +
Unexpected Absences	0.0 – 2.0%	3.0 – 5.5%	5.5 – 10%	11%+
Bonus % of Pay	0.0 – 7.0%	8.0 – 13%	14 – 24%	24%+
Future Scheduled Overtime	0.0 – 0.1%	0.2 – 2.0%	3.0 – 5.0%	5.0%+
Days Staffed Out	7 – 29	4 – 6	2 - 3	5.0%+

Effectively monitoring high-level staffing policies, data integrity, KPI’s, invoices, historical data, etc. will not only validate labor model sustainability, but put a spotlight on high-risk elements and uncover value that would otherwise go unnoticed.

Procare HR specializes in achieving strong labor performance through standardization, systems, processes, clear documentation, etc., so operators can focus on their Mission, while standing out as a low risk, high value, and scalable partner.

Moving the Needle: Speed, Sponsorship & Smarter Funnels

How Procare Drives Results



Increase Applicant Volume

Fill the applicant funnel through higher application completion and top-employer market positioning. Client Impact: Average **804 Applicants/Month**.



Hiring Predictability Index (HPI)

Turn historical attrition into predictable, month-over-month hiring plans. HPI Forecasted 62.70 clinical FTEs needs/month → **Hired average of 63 per month**.



Reduce Sponsorship Cost

Achieve a 65% reduction and broader market reach. Average Monthly Spend = **\$7,106 vs. \$21,000** (Annual Savings = \$166,728).



Decrease Time to Fill (TTF)

Regular Role TTF = **25.37 days vs. 49 days** industry average. Evergreen Role TTF = **9.2 days vs. 15 days**.

\$166,728

ANNUAL SPONSORSHIP SAVINGS (MID-MARKET OPERATOR, 13 COMMUNITY PORTFOLIO)

COST OF OPEN SEAT PER DAY — CLINICAL ROLES

Role	Cost/Day (Pre)	Cost/Day (Post)
LPN	\$421.44	\$190.24
RN	\$524.52	\$228.76
CNA	\$276.00	\$116.00

+20%

INCREASE IN HIRING MANAGER CAPACITY

CHAPTER THREE

Client Results & Outcomes

Real performance data from operators who've made the shift to strategic, data-driven people management.



Faith-Based CCRC Operator

Two Campuses | 796 Employees

A faith-based continuing care retirement community with two campuses achieved significant performance improvements across talent acquisition, compliance, and labor management during Q2 FY2025.

Performance Scorecard — Q4 2025

Metric	Apr–Jun 2025	Jul–Sep 2025	Oct–Dec 2025	Target	Status
TA Days to Fill (avg)	19.2	19.6	19.92	>35 Days	Exceeds
TA Sponsorship Spend	\$2,523	\$1,729	\$2,924	<\$4,500	Exceeds
HPRD Avg (Campus A)	3.59	3.63	3.58	<=3.60	Exceeds
Agency (\$)	<\$19K	\$20k–30k	<\$19K	<= \$19K	Exceeds
Overtime % of Hours	4.2%	4.1%	3.9%	<5%	Exceeds
FY YTD Turnover 2026	46.6%	44.8%	23.04	40–69%	Exceeds
I-9 Compliance	81.8%	89%	92%	>98%	Exceeds
Helpline: First Contact Resolution	91%	91%	92%	>80%	Exceeds

10.6%

OVERALL EXPENSE DECREASE - \$119,349
DECREASE PER PAY PERIOD

25%

DECREASE IN OT HOURS % - \$15,608
MONTHLY OT EXPENSE REDUCTION

Operational & Compliance Excellence

Employee Support

Closed 1,103 support cases across Payroll, UKG, Benefits, and Compliance. Strengthened UKG access, roles, and workflow alignment to reduce friction (239 cases).

Compliance & I-9

I-9 compliance surged from 81.8% to 98% over three quarters. Maintained audit-ready documentation and tax year-end readiness.

Policy, Compliance, & Process

Continued compliance support through tax, documentation, and process governance casework. Partnered with leaders on HR support items where policy/process execution was required

Scheduling Support

Supported TeamBridge needs and schedule-related troubleshooting, reducing friction in daily operations. Restructured staffing model leading to reduced HPRD across multiple communities.

Mid-Market, AL/MC

Senior Housing Operator | 22 Communities

A multi-community operator achieved best-in-class talent acquisition metrics and strong compliance performance, with targeted focus on overtime reduction and technology adoption.

Performance Scorecard — Q4 2025

Metric	Q4 Result	Target	Status
Days to Fill Regular Positions	26.09 days	<35 days	Exceeds
Sponsorship Spend to Budget	\$4,052	<\$4,500	Exceeds
Participation in TA and Labor Cadence	≥95%	≥95%	Exceeds
Agency Utilization (%)	0.10%	<1%	Meets
Overtime: % of Total Hours	3.0%	<=3%	Meets
YTD Turnover 2025 (Annualized)	42%	45–69%	Exceeds
Unemployment Claims Challenged	100%	90%	Exceeds
Helpline: First Contact Resolution	92%	>80%	Exceeds
Helpline: Service Level	25 seconds	<60 seconds	Exceeds

0.10%

AGENCY UTILIZATION — NEAR-ZERO
DEPENDENCY

25 sec

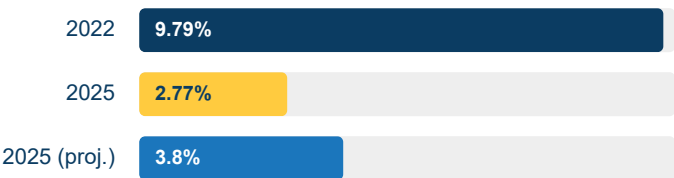
EMPLOYEE HELPLINE ANSWER SPEED
(TARGET: <60 SEC)

"Near-zero agency utilization at 0.10% represents a remarkable achievement — the result of consistent talent acquisition cadence, proactive scheduling, and a shift toward permanent hiring infrastructure."

What Operators Should Be Watching

Wages: The Deceleration Story

Senior living wages rose 33% between 2019 and 2024 — outpacing the private sector's 25%. CNA hourly rates hit \$18–20 at the 50th percentile by 2025. But the pace is slowing:



Despite gains, 36% of direct care workers live in or near poverty. Wage pressure remains — it's just moderating.

Four Trends to Watch



AI in Talent Acquisition
QR code applications, AI screening, and predictive HPI models are reshaping how fast roles fill.



Flexible Scheduling as Retention
With 98% of caregivers citing scheduling as a top retention factor, TeamBridge adoption becomes mission-critical.



Labor as an M&A Signal
Institutional capital increasingly uses labor KPIs as a proxy for operational quality in due diligence.



Compliance Complexity Rising
DOL enforcement, EEOC activity, and state-level employment law changes require in-house legal expertise.

The Bottom Line

Senior housing operators that invest in structured HR infrastructure, predictive recruiting, onboarding programs, real-time labor management, and compliance systems, will outperform peers on occupancy, NOI, and resident outcomes. The window to build competitive workforce advantage is now, while peers are still treating HR as overhead rather than strategy.

800+

COMMUNITIES PROCARE SUPPORTS

35,000+

EMPLOYEES MANAGED

70%+

PROCARE TEAM CAME FROM SENIOR LIVING INDUSTRY

Impact of Labor Operations on NOI and Asset Value

In a Senior Housing Operating Partnership (SHOP) structure, the operator's performance *is* the investment. Labor is the largest expense line, and the most volatile. Procare transforms it into a predictable, value-creating asset that capital partners can underwrite with confidence.

SAMPLE PORTFOLIO PERFORMANCE MODEL — 20-COMMUNITY, 2,000-UNIT PORTFOLIO (84-MONTH HOLD)			
METRIC	PRE-PROCARE	POST-PROCARE	DELTA
Levered IRR	19.49%	24.76%	+5.27 pts
Equity Multiple	1.99x	3.23x	+1.24x
Value at Exit	\$534,308,803	\$591,610,282	+\$57,301,479
Avg Annual NOI	\$39,334,485	\$43,411,307	+\$4,076,822/yr

Assumptions: 20-building, 2,000-unit model. 85% occupancy, 75% LTV, Entry Cap Rate: 8.5, Exit Cap Rate: 7.87

+\$85.8M

RETURN ON EQUITY VS. PRE-PROCARE SCENARIO

+10%

AVERAGE ANNUAL NOI INCREASE ACROSS PORTFOLIO

~\$4M

AVERAGE ANNUAL NOI INCREASE ACROSS PORTFOLIO

Why This Matters in a SHOP Structure

Lower Labor Volatility = Better Underwriting Unplanned labor swings of just 1% annually compound to Millions in NOI losses over a hold period. Procure's real-time labor controls reduce that volatility, creating a more predictable and performing asset.	KPI Reporting Capital Partners Can Trust Procare's HR Dashboard and quarterly scorecards give REIT and PE partners standardized, predictive, and real-time labor data, rather than lagging financial statements.
Scalable Across the Portfolio Without Adding Corporate Overhead Procare's model scales with acquisitions, adding communities without requiring proportional growth in corporate headcount; Critical for M&A-driven SHOP strategies.	Compliance Infrastructure Reduces Investment Risk Procare's in-house employment attorneys and dedicated compliance infrastructure, reduces DOL, EEOC, and wage-and-hour exposure; risk categories that can materially impact asset value and transaction timing.



CARING FOR PEOPLE WHO CARE FOR PEOPLE.

Ready to Solve the People Equation?

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